By this time the Dutch had given up Pulicat and moved their headquarters further south to Nagapattinam. They had decided to shift their focus to the spice-producing islands of Indonesia and established their capital at Jakarta (Batavia). Chennai, in the meantime, had grown into a prosperous town. The English, after many years of struggle, became a power to reckon with in the region. Surat continued to suffer due to the uncertain political conditions, and by 1750, the local merchants had begun to declare themselves to be "under the protection" of the Dutch or the English in order to feel more secure. Bombay therefore became a viable alternative as a trade centre, attracting merchants from Surat and other parts of Gujarat.



Nagapattinam in 1702

16.2 The Economy

Agriculture

India was primarily an agricultural economy. Most of the population lived in the rural areas and they depended on agriculture for their livelihood. In addition to food grains, they grew several commercial crops. These included sugarcane, oil seeds, cotton and indigo. There was a brisk trade in food grains, ghee, sugar and other food products from the surplus areas to the deficit areas within India. Food grains, particularly, were transported on coastal boats and the Tamil region, for instance, imported food grains from the Andhra region and Bengal. On the west coast, food grains from Gujarat were exported to the Malabar region in return for pepper, cinnamon and ginger. Food grains were also shipped to the Dutch establishments in Sri Lanka and Batavia (Indonesia).

Cotton Manufactures

India also had a strong manufacturing base and was particularly famous for the variety of cotton fabrics produced at various centres across the country. Weaving was the second most important economic activity in the country, supported by subsidiary activities like spinning and dyeing. Manufacturing – that is, handicraft production – was carried on both in urban and rural areas. Luxury crafts, like metalwork were urban based. Weaving was mostly done in rural areas. India had a great advantage in that cotton was grown in our country. Indian craft communities also possessed specialized knowledge about dyeing cotton using chemicals like alum to produce a permanent colour. The Coromandel region was famous for its painted (*kalamkari*) fabrics which had designs drawn on the cloth and then dyed. By the sixteenth century these had become staple products for consumers in south-east Asia, especially the Indonesian islands. Cotton fabrics were the most important exports from all parts of India to the rest of the world. This continued well into the eighteenth century.

Marketing

Production for an external market was widespread, so that there was a high degree of commercialization of production beyond subsistence levels. This required the organization of marketing by agencies which were distinct from the producers, that is, a class of merchants. Merchants thus linked producers who were dispersed in the rural areas with urban markets within the country, and with external markets outside the country. The extensive trade network in the country operated in several circuits, from the village markets, to regional markets and large urban commercial centres, culminating in the ports which were the gateways to the markets outside the country.

Merchant Groups

Just as the various kinds of markets functioned at different scales, merchants were also not a homogeneous group. There were traders and retailers who serviced markets in

11th_History_English Medium_History_Unit 16.indd 246 01-12-2022 19:33:41